

NextEra Energy, Inc.

NEE NYSE

Buy \$87.43 ▼ 1.03% 12M Price Target \$105.00 52-Week Range \$69.24 – \$98.75 Market Cap \$182.34B

NEE: AI Data Center Power Demand Meets Policy Crosswinds

WHAT HAPPENED

- NEE is down 1% on light holiday volume (only 2.1M shares vs the usual 10-15M) — meaning don't read too much into today's move, this is noise, not signal. The bigger story: Zacks flagged that NEE has been lagging the utility sector over the past month, which is unusual because utilities are supposed to be the "AI power play" right now.
- The 24/7 Wall St piece explicitly calls this a "1970s-scale power buildout" — that's the bull thesis in one line. NEE is the largest renewable energy producer in the US, so if data centers really do need this much power, NEE is a direct beneficiary.

WHY IT MATTERS

Here's the tension you need to understand: NEE has TWO conflicting narratives fighting each other right now. On one side, AI data centers are begging for power — any power — and NEE has the scale to deliver it. On the other side, the Trump administration and the "One Big Beautiful Bill" (passed July 2025) accelerated the phase-out of Inflation Reduction Act clean energy tax credits, which was NEE's primary economic moat for the last three years. The fact that NEE is stuck at 62% of its 52-week range while tech is ripping tells you the market is pricing in the policy headwind more than the AI tailwind — which is probably an opportunity if you believe the power demand story wins out over 2-3 years.

POLICY & POLITICAL WATCH

The critical policy issue: the accelerated wind-down of IRA solar/wind tax credits under the Trump budget bill is forcing NEE to rush projects to "start construction" deadlines to lock in credits. Watch for Treasury guidance on the "beginning of construction" safe harbor rules expected this summer — if Treasury interprets it generously, NEE's backlog gets protected; if strict, several gigawatts of planned projects could get uneconomic. Also watch FERC's ongoing proceedings on data center interconnection rules — if data centers get treated as "co-located load," it unlocks a much faster path for NEE to sell power directly to hyperscalers like Microsoft and Google without going through the traditional grid queue.

IS IT EXPENSIVE?

At ~24x forward earnings, you're paying \$24 for every \$1 of profit NEE makes next year — that's a premium to boring utilities (which trade around 18x) but a discount to where NEE traded in 2021-2022 (30x+). Justified? Probably yes, because NEE's renewables development arm grows way faster than a plain-vanilla utility, and the AI power thesis gives it a growth story most utilities don't have. The 3.2% dividend yield is a nice floor while you wait.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-07-06 16:05 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$87.43
12M Price Target	\$105.00
Upside / (Downside)	+20.1%
Market Cap	\$182.34B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.65
FY2027E EPS	\$4.05
Fwd P/E	23.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$95.00	\$89.00	\$82.00
6 Months	\$102.00	\$94.00	\$78.00
1 Year	\$115.00	\$105.00	\$75.00
2 Years	\$135.00	\$118.00	\$70.00
5 Years	\$180.00	\$145.00	\$65.00
10 Years	\$260.00	\$200.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.44%) continues to lead as AI capex expectations keep ratcheting up — this is indirectly bullish for utilities that power those data centers. Industrials also strong on infrastructure buildout themes.

COOLING OFF: Energy (-0.02% today, -1.17% for the week) — oil demand concerns and OPEC+ supply increases weighing on the sector; ironically bad for traditional energy but doesn't help renewables either because the broader energy narrative is weak.

ROTATION WATCH: Money is flowing into "AI adjacent" plays — semis, data center REITs, and power infrastructure. NEE should benefit but is being held back by policy overhang; the rotation isn't fully reaching it yet.

RELATED PLAY: Independent power producers with nuclear exposure (VST, CEG) have been the direct beneficiaries of the AI power trade — if you want the cleanest expression of this theme, they're it, but NEE offers the same story with a fat dividend and less volatility.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Nuclear + gas fleet perfectly positioned for 24/7 AI baseload demand; up massively over the past year
- CEG (Constellation Energy): Direct nuclear PPA with Microsoft made them the poster child of the AI power thesis

NEE CONTEXT: NEE is definitely lagging the pure-play AI power names — its renewable-heavy mix means investors see it as "AI power lite." That lag is either a warning sign (the market is telling you renewables aren't winning the AI power race) or an opportunity (NEE gets re-rated once the market realizes AI needs ALL power, not just nuclear). I lean toward the latter but understand why the stock is stuck.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — solid setup with real catalysts, but the policy overhang keeps me from pounding the table

POSITION SIZE: 3-5% of portfolio — this is a "sleep well at night" holding, not a moonshot; the 3.2% dividend pays you to wait

ENTRY POINTS: Add on pullbacks to \$82-85; the stock has bounced off that level twice this year

TIME HORIZON: 12-24 months — waiting for either a hyperscaler PPA announcement or Treasury guidance that clarifies the tax credit situation

WHEN TO BAIL: If Congress passes full IRA repeal, if NEE cuts its dividend growth guidance (currently ~10% annually), or if the stock breaks below \$75 on high volume

HEDGING: If you're nervous about policy risk, pair NEE with a natural gas utility like Southern Company (SO) — if Trump policies favor gas over renewables, SO wins while NEE loses, and vice versa